

Cambridge International AS & A Level

# ECONOMICS

**9708/02A**

**Paper 2 AS Level Data Response and Essays**

Practice Series 2026

## MARK SCHEME

**Maximum Mark: 60**

*Difficulty: Advanced*

**★ PREDICTED PAPER — FOR REVISION USE ★**

*This mark scheme is a predicted paper mark scheme produced for student revision purposes. It mirrors the structure and generic marking principles of the Cambridge International AS & A Level 9708 Economics Paper 2 mark scheme. It is not an official Cambridge International document.*

## Generic Marking Principles

These general marking principles must be applied alongside the specific content of this mark scheme and the generic level descriptions for each question.

### GENERIC MARKING PRINCIPLE 1

Marks must be awarded in line with the specific content of the mark scheme, the specific skills defined in the mark scheme or generic level descriptors, and the standard of response required.

### GENERIC MARKING PRINCIPLE 2

Marks awarded are always whole marks (not half marks, or other fractions).

### GENERIC MARKING PRINCIPLE 3

Marks must be awarded positively: marks are awarded for correct/valid answers; credit is given for valid answers beyond the mark scheme where appropriate; marks are not deducted for errors or omissions.

### GENERIC MARKING PRINCIPLE 4

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

### GENERIC MARKING PRINCIPLE 5

Marks should be awarded using the full range of marks defined in the mark scheme for the question.

### GENERIC MARKING PRINCIPLE 6

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

## Social Science-Specific Marking Principles (point-based marking)

- DO credit answers worded differently from the mark scheme if they clearly convey the same meaning.
- DO credit alternative answers/examples not written in the mark scheme if correct.
- DO NOT credit answers simply for using a 'key term' unless that is all that is required.
- DO NOT credit answers that are self-contradicting or attempt to cover all possibilities.
- DO NOT give further credit for repetition of a correct point already credited.

## Assessment Objectives

### AO1 Knowledge and understanding

- Show knowledge of syllabus content, recalling facts, formulae and definitions.
- Demonstrate understanding of syllabus content, giving appropriate explanations and examples.
- Apply knowledge and understanding to economic information using written, numerical and diagrammatic forms.

### AO2 Analysis

- Examine economic issues and relationships, using relevant economic concepts, theories and information.
- Select, interpret and organise economic information in written, numerical and diagrammatic form.
- Use economic information to recognise patterns, relationships, causes and effects.
- Explain the impacts and consequences of changes in economic variables.

### AO3 Evaluation

- Recognise assumptions and limitations of economic information and models.

- Assess economic information and the strengths and weaknesses of arguments.
- Communicate reasoned judgements, conclusions and decisions, based on the arguments.

**Table A: AO1 Knowledge and understanding and AO2 Analysis**

Use this table for the (b) parts of Questions 2, 3, 4 and 5.

| Level    | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Marks      |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| <b>3</b> | <ul style="list-style-type: none"> <li>Detailed knowledge and understanding of relevant economic concepts is included, using relevant explanations, supported by examples where appropriate.</li> <li>Response clearly addresses the requirements of the question and explains economic issues, fully developing these explanations.</li> <li>Analysis is developed and detailed with accurate and relevant use of economic concepts and theories. Where necessary, accurate and relevant use of analytical tools such as diagrams and formulae, fully explained.</li> <li>Responses are well-organised, well-focused and presented in a logical and coherent manner.</li> </ul> | <b>6–8</b> |
| <b>2</b> | <ul style="list-style-type: none"> <li>Knowledge and understanding of some relevant economic concepts is included, using explanations and examples that are limited, over-generalised or contain inaccuracies.</li> <li>Response addresses the general theme of the question and the relevant economic issues, with limited development.</li> <li>Analysis is generally accurate with some development but little detail. Analytical tools are used where necessary but partially accurate or not fully explained.</li> <li>Responses are generally logical and coherent but sometimes lacking in focus or organisation.</li> </ul>                                              | <b>3–5</b> |
| <b>1</b> | <ul style="list-style-type: none"> <li>A small number of relevant knowledge points are included; response is limited by significant errors or omissions.</li> <li>Response has little relevance to the question.</li> <li>Analysis where provided is largely descriptive. Analytical tools, where used, may contain significant errors or be omitted.</li> <li>Responses show limited organisation of economic ideas.</li> </ul>                                                                                                                                                                                                                                                 | <b>1–2</b> |
| <b>0</b> | No creditable response.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | <b>0</b>   |

**Table B: AO3 Evaluation**

Use this table for the (b) parts of Questions 2, 3, 4 and 5.

| Level    | Description                                                                                                                                                                                                                           | Marks      |
|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| <b>2</b> | <ul style="list-style-type: none"> <li>Provides a justified conclusion or judgement that addresses the specific requirements of the question.</li> <li>Makes developed, reasoned and well-supported evaluative comment(s).</li> </ul> | <b>3–4</b> |
| <b>1</b> | <ul style="list-style-type: none"> <li>Provides a vague or general conclusion or judgement in relation to the question.</li> <li>Makes simple evaluative comment(s) with no development and little supporting evidence.</li> </ul>    | <b>1–2</b> |
| <b>0</b> | No creditable response.                                                                                                                                                                                                               | <b>0</b>   |

## Section A

Follow the point-based marking guidance at the top of this mark scheme.

| Question        | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Marks    |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| <b>1(a)(i)</b>  | <p><b>Using Table 1.1, calculate the gap between headline and core CPI inflation in 2022.</b></p> <ul style="list-style-type: none"> <li>1.8 percentage points (8.0% – 6.2%) (1).</li> </ul> <p><i>Accept '1.8 pp' or '+1.8 percentage points'. The sign of the gap (headline above core) is not required for the mark.</i></p>                                                                                                                                                                                                                                                                                                                                                                                         | <b>1</b> |
| <b>1(a)(ii)</b> | <p><b>Identify the trend in the US federal budget deficit between 2021 and 2023.</b></p> <ul style="list-style-type: none"> <li>The deficit fell (became smaller) / narrowed from –12.3% to –6.3% of GDP. Accept 'the deficit narrowed', 'fell', 'reduced' (1).</li> </ul> <p><i>Do NOT accept 'the deficit increased' or 'deficit rose' based on the negative signs. Candidates must recognise smaller (less negative) figures = smaller deficit.</i></p>                                                                                                                                                                                                                                                              | <b>1</b> |
| <b>1(b)</b>     | <p><b>Explain, using examples from the data, two reasons why real GDP growth may not be a reliable measure of changes in living standards in the US.</b></p> <ul style="list-style-type: none"> <li>Does not account for distribution of income — 2.5% growth in 2023 may mask widening inequality (1).</li> <li>Does not capture non-market activity, leisure, or quality changes / environmental degradation (1).</li> <li>Does not adjust for population growth (GDP per capita better) (1).</li> <li>Affected by changes in the price level — nominal vs real matters; confounded by inflation (1).</li> </ul> <p><i>1 mark max per reason. Must reference a specific limitation.</i></p>                           | <b>2</b> |
| <b>1(c)</b>     | <p><b>Consider whether persistent core inflation of 4.8% alongside unemployment of 3.6% indicates that the US economy is operating above its potential output.</b></p> <ul style="list-style-type: none"> <li>A positive output gap occurs when actual real GDP exceeds potential (1). Unemployment of 3.6% is well below most estimates of the NAIRU (c. 4–5%) (1), which would push wages and prices up (1).</li> <li>However: inflation may be lagging past shocks (energy, supply chains) (1); core inflation may reflect sticky services prices rather than demand (1); 'potential' is unobservable and estimates disagree (1).</li> </ul> <p><i>Reserve 1 mark for a valid conclusion. Max 3 for analysis</i></p> | <b>4</b> |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Marks |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
|          | <i>without evaluation.</i>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |       |
| 1(d)     | <p><b>Assess the extent to which the appreciation of the US dollar between 2022 and 2023 would have helped the Federal Reserve reduce US inflation.</b></p> <p><b>Up to 3 marks — analysis of how a stronger dollar reduces inflation:</b></p> <ul style="list-style-type: none"> <li>• Stronger dollar makes imports cheaper in USD terms (1).</li> <li>• Imported intermediate and consumer goods fall in price, reducing cost-push pressure (1).</li> <li>• The stronger dollar acts like an additional monetary tightening for the US (1).</li> <li>• Reduces net exports (lower X, higher M), reducing AD and demand-pull inflation (1).</li> </ul> <p><b>Up to 3 marks — limitations:</b></p> <ul style="list-style-type: none"> <li>• The US is a relatively closed economy; imports <math>\approx</math> 15% of GDP, limiting pass-through (1).</li> <li>• Most US inflation in 2022–23 was services-driven (rents, wages), unaffected by FX (1).</li> <li>• Currency effects are largely one-off, not sustained disinflation (1).</li> <li>• Pass-through is incomplete and slow (1).</li> </ul> <p><i>Max 4 marks for analysis without balanced evaluation. Reserve 1 for balanced evaluation; 1 for justified conclusion.</i></p>                                                                                                    | 6     |
| 1(e)     | <p><b>Assess the extent to which simultaneous expansionary fiscal policy (through the Inflation Reduction Act and CHIPS Act) and contractionary monetary policy would make it more difficult for the US to achieve a 'soft landing'.</b></p> <p><b>Up to 3 marks — arguments that fiscal expansion offsets monetary tightening:</b></p> <ul style="list-style-type: none"> <li>• Fiscal expansion (IRA \$369bn, CHIPS \$52bn) shifts AD right, counteracting the Fed's leftward AD shift (1).</li> <li>• Keeps demand above potential longer, meaning the Fed must hold rates higher for longer (1).</li> <li>• Higher-for-longer rates increase the risk of over-tightening and hard landing (1).</li> <li>• Crowding-out: fiscal pushes up real rates and the dollar, harming exports (1).</li> </ul> <p><b>Up to 3 marks — arguments that fiscal expansion does not prevent a soft landing:</b></p> <ul style="list-style-type: none"> <li>• IRA and CHIPS are supply-side investments — raise potential output over time, easing supply constraints (1).</li> <li>• Much of the spending is back-loaded / stretched over a decade, so near-term AD impact is small (1).</li> <li>• Targeted subsidies to specific sectors may not widely stimulate AD (1).</li> <li>• By expanding supply (green energy, semiconductors), fiscal</li> </ul> | 6     |

| Question | Answer                                                                                                                                                                                                                                                                     | Marks |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
|          | <p>policy reduces bottlenecks the Fed cannot address with rates (1).</p> <p><i>Max 4 for analysis. Reserve 1 for balanced evaluation; 1 for justified conclusion (e.g. soft landing depends on whether fiscal policy is demand- or supply-focused and its timing).</i></p> |       |

## Section B

Use Tables A and B for (b) parts. Follow point-based marking for (a) parts.

| Question      | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Marks     |
|---------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| <b>EITHER</b> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |           |
| <b>2(a)</b>   | <p><b>With the help of diagrams, explain the concepts of consumer surplus and producer surplus, and consider the effect of a maximum price set below the market equilibrium on the distribution of economic welfare.</b></p> <p><i>Up to 3 marks AO1 / 3 marks AO2 / 2 marks AO3.</i></p> <p><b>AO1 (max 3):</b></p> <ul style="list-style-type: none"> <li>• Consumer surplus = willingness to pay minus actual price paid — area under demand curve above the price (1).</li> <li>• Producer surplus = revenue received minus minimum willing to accept — area above supply curve below the price (1).</li> <li>• Correctly labelled supply-demand diagram with CS (consumer surplus) and PS (producer surplus) areas shaded (1).</li> </ul> <p><b>AO2 (max 3):</b></p> <ul style="list-style-type: none"> <li>• Max price below equilibrium: <math>Q_d &gt; Q_s \rightarrow</math> excess demand / shortage (1).</li> <li>• Consumer surplus changes shape: some consumers gain (lower price) but others lose access (shortage) (1).</li> <li>• Producer surplus shrinks: lower price AND lower quantity supplied (1).</li> <li>• Deadweight loss: combined welfare triangle lost because mutually beneficial trades don't happen (1).</li> </ul> <p><b>AO3 (max 2):</b></p> <ul style="list-style-type: none"> <li>• Net welfare change is negative (deadweight loss), but a max price redistributes from producers to consumers who can obtain the good (1); may create non-price rationing (queues, black markets) that further erode welfare (1).</li> </ul> | <b>8</b>  |
| <b>2(b)</b>   | <p><b>Assess the extent to which knowledge of both the price elasticity of demand and the price elasticity of supply is necessary for a government to predict the effects of an indirect tax on a particular market.</b></p> <p><i>Use Table A and Table B.</i></p> <p><b>Indicative content:</b></p> <p><b>AO1 / AO2:</b></p> <ul style="list-style-type: none"> <li>• Tax incidence depends on the RELATIVE elasticity of demand and supply — the more inelastic side bears more of the tax.</li> <li>• PED alone: helps predict change in quantity and consumer burden.</li> <li>• PES alone: helps predict producer response and producer</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | <b>12</b> |



| Question    | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Marks     |
|-------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
|             | <p>burden.</p> <ul style="list-style-type: none"> <li>Both together: necessary to predict tax revenue = tax per unit <math>\times</math> equilibrium quantity; deadweight loss; welfare change.</li> <li>Worked example: if PED = <math>-0.2</math> (inelastic, e.g. cigarettes) and PES = <math>1.0</math>, consumers bear most of the tax; revenue is high, quantity falls little.</li> <li>If PED = <math>-2.0</math> (elastic) and PES = <math>0.5</math> (inelastic), producers bear most; revenue lower, quantity falls significantly.</li> </ul> <p><b>AO3:</b></p> <ul style="list-style-type: none"> <li>A justified conclusion recognising that both elasticities are needed jointly; without both, incidence, revenue and welfare effects cannot be accurately predicted. Also: elasticities vary over time horizons; may need to consider income elasticities (for luxury/normal goods) and cross-elasticities (for substitutes).</li> </ul> <p><i>A one-sided response cannot gain any marks for evaluation.</i></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |           |
| <b>OR</b>   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |           |
| <b>3(a)</b> | <p><b>Explain the difference between a merit good and a public good, and consider why each type of good presents a different type of market failure that justifies government intervention.</b></p> <p><i>Up to 3 marks AO1 / 3 marks AO2 / 2 marks AO3.</i></p> <p><b>AO1 (max 3):</b></p> <ul style="list-style-type: none"> <li>Merit good: rival and excludable but under-consumed in a free market due to imperfect information or positive externalities (1). Example: education, vaccinations.</li> <li>Public good: non-rival AND non-excludable (1). Example: national defence, streetlights.</li> <li>Public goods suffer the free-rider problem: consumers don't reveal true preferences (1).</li> </ul> <p><b>AO2 (max 3):</b></p> <ul style="list-style-type: none"> <li>Merit goods: market fails because <math>MSB &gt; MPB</math>; private demand reflects only private benefit (1).</li> <li>Public goods: market fails because private firms cannot profitably supply — non-excludability means no way to charge (1).</li> <li>Merit goods intervention justified by correcting under-consumption (subsidies, info, free provision); public goods by overcoming free-rider (state provision, tax-funded) (1).</li> </ul> <p><b>AO3 (max 2):</b></p> <ul style="list-style-type: none"> <li>Merit good failure is about valuation/information; public good failure is about production/exclusion (1); as a result, intervention tools differ — provision vs subsidies (1).</li> </ul> | <b>8</b>  |
| <b>3(b)</b> | <p><b>Assess whether direct provision by the government is always the most efficient way to correct market failures associated with merit goods such as healthcare and</b></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | <b>12</b> |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Marks |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
|          | <p><b>education in a developed economy.</b></p> <p><i>Use Table A and Table B.</i></p> <p><b>Indicative content:</b></p> <p><b>AO1 / AO2:</b></p> <ul style="list-style-type: none"> <li>• Direct provision: government supplies good directly, often free at point of use (e.g. UK NHS, state schooling).</li> <li>• Benefits: universal access; addresses equity; captures positive externalities; avoids under-consumption.</li> <li>• Drawbacks: high opportunity cost; public-sector inefficiency (no profit motive); rationing by queue not price; risk of over-consumption (moral hazard).</li> <li>• Alternatives: (i) subsidies to private providers (lower cost, retain choice); (ii) vouchers (targeted purchasing power); (iii) mandates (compulsory education/insurance); (iv) information/regulation; (v) public-private partnerships.</li> <li>• Examples: UK NHS (direct) vs US healthcare (insurance subsidies) vs Singapore (mandated savings + means-tested subsidies).</li> </ul> <p><b>AO3:</b></p> <ul style="list-style-type: none"> <li>• 'Always' is too strong. Optimal approach depends on: type of merit good (education is more externality-driven; healthcare has informational failures); size of externality; fiscal capacity; distributional concerns. No single approach dominates for all merit goods or all developed economies.</li> </ul> <p><i>A one-sided response cannot gain any marks for evaluation.</i></p> |       |

## Section C

Use Tables A and B for (b) parts. Follow point-based marking for (a) parts.

| Question      | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Marks     |
|---------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| <b>EITHER</b> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |           |
| <b>4(a)</b>   | <p><b>Using an AD/AS diagram, explain the difference between demand-side and supply-side causes of economic growth, and consider which is likely to be a more sustainable source of rising living standards.</b></p> <p><i>Up to 3 marks AO1 / 3 marks AO2 / 2 marks AO3.</i></p> <p><b>AO1 (max 3):</b></p> <ul style="list-style-type: none"> <li>• Demand-side growth: rightward shift of AD; short-run, may be inflationary if near full employment (1).</li> <li>• Supply-side growth: rightward shift of LRAS (long-run AS) — increase in productive capacity (1).</li> <li>• Correctly drawn AD/AS diagram distinguishing the two (1).</li> </ul> <p><b>AO2 (max 3):</b></p> <ul style="list-style-type: none"> <li>• Demand-side: quick to materialise but unsustainable if not matched by supply — leads to inflation (1).</li> <li>• Supply-side: raises potential output → higher real income without inflation (1).</li> <li>• Supply-side sources: investment, human capital, technological progress, labour force growth (1).</li> </ul> <p><b>AO3 (max 2):</b></p> <ul style="list-style-type: none"> <li>• Supply-side is more sustainable because demand-side is constrained by LRAS in the long run (1); however, demand-side is needed to close output gaps and avoid underutilisation (both required in combination) (1).</li> </ul> | <b>8</b>  |
| <b>4(b)</b>   | <p><b>Assess the extent to which supply-side policies aimed at raising productivity are the most effective way for a developed economy such as the UK to achieve stable, non-inflationary growth.</b></p> <p><i>Use Table A and Table B.</i></p> <p><b>Indicative content:</b></p> <p><b>AO1 / AO2:</b></p> <ul style="list-style-type: none"> <li>• Supply-side productivity policies: R&amp;D tax credits; education/training (human capital); infrastructure investment; deregulation; labour market flexibility; competition policy.</li> <li>• Raise productivity → LRAS shifts right → higher real output without inflationary pressure.</li> <li>• UK productivity puzzle: weak productivity growth since 2008 makes supply-side reform especially important.</li> <li>• Limitations: long time lags (education 10–20 years); expensive; uncertain returns; some policies (e.g. cutting taxes) may worsen inequality without raising productivity.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                     | <b>12</b> |

| Question    | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Marks     |
|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
|             | <ul style="list-style-type: none"> <li>Alternative approaches: demand management (fiscal/monetary) to smooth cycles; industrial policy for strategic sectors; international trade policy (free trade agreements).</li> <li>Supply-side and demand-side are complementary — neither alone is sufficient.</li> </ul> <p><b>AO3:</b></p> <ul style="list-style-type: none"> <li>Conclusion: supply-side productivity policies are likely the most effective long-run source of non-inflationary growth, but their long lags mean they must be combined with well-managed demand-side policy. 'Most effective' is defensible only for the long run; in the short run demand management matters more.</li> </ul> <p><i>A one-sided response cannot gain any marks for evaluation.</i></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |           |
| <b>OR</b>   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |           |
| <b>5(a)</b> | <p><b>Explain the difference between a fixed exchange rate, a managed floating exchange rate and a freely floating exchange rate, and consider one advantage of each system for a developed economy.</b></p> <p><i>Up to 3 marks AO1 / 3 marks AO2 / 2 marks AO3.</i></p> <p><b>AO1 (max 3):</b></p> <ul style="list-style-type: none"> <li>Fixed: currency pegged to another currency or gold; central bank intervenes to maintain (1).</li> <li>Managed float: market-determined but with central bank intervention to smooth volatility or target a band (1).</li> <li>Freely floating: entirely market-determined; no intervention (1).</li> </ul> <p><b>AO2 (max 3): One advantage for each:</b></p> <ul style="list-style-type: none"> <li>Fixed: certainty for traders/investors, imported monetary discipline, prevents speculation (1).</li> <li>Managed float: allows some gradual adjustment without extreme volatility (1).</li> <li>Floating: automatic BoP adjustment, independent monetary policy, no need to hold large reserves (1).</li> </ul> <p><b>AO3 (max 2):</b></p> <ul style="list-style-type: none"> <li>Each suits different circumstances — fixed for small open economies, floating for large ones wanting monetary sovereignty (1); managed float is a pragmatic middle ground but risks being arbitrary and attracting speculation (1).</li> </ul> | <b>8</b>  |
| <b>5(b)</b> | <p><b>Assess whether joining a single currency area is always beneficial for a developed economy's macroeconomic stability.</b></p> <p><i>Use Table A and Table B.</i></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | <b>12</b> |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Marks |
|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
|          | <p><b>Indicative content:</b></p> <p><b>AO1 / AO2:</b></p> <ul style="list-style-type: none"> <li>• A single currency area (e.g. Eurozone) eliminates exchange rate uncertainty between members.</li> <li>• Benefits: reduced transaction costs; price transparency; increased trade; anchored monetary policy (ECB).</li> <li>• Costs: loss of independent monetary policy; 'one size fits all' interest rates; no exchange rate adjustment to asymmetric shocks (cf. Greek crisis 2010–15).</li> <li>• Optimum Currency Area (OCA) theory: benefits &gt; costs only if members have similar business cycles, labour mobility, fiscal transfers, trade integration.</li> <li>• UK chose to remain outside — Brexit partly motivated by preserving independent policy; Sweden, Denmark similar.</li> <li>• Germany benefits from undervalued euro; peripheral economies struggle with overvalued euro.</li> </ul> <p><b>AO3:</b></p> <ul style="list-style-type: none"> <li>• Conclusion: 'always beneficial' is too strong. Benefits depend on OCA criteria, fiscal integration, and whether the economy can withstand asymmetric shocks without exchange rate adjustment. Macroeconomic stability can be enhanced or undermined depending on the member's economic structure.</li> </ul> <p><i>A one-sided response cannot gain any marks for evaluation.</i></p> |       |